Cedarfield Materials Corp. (GKRH) - Form 10-K

FY2025

Cedarfield Materials Corp.

Form 10-K for the Fiscal Year Ended 2025

Ticker: GKRH | Sector: Financials | HQ: Minnesota

> **NOTE:** This is a synthetic filing generated for a RAG-evaluation benchmark dataset. Cedarfield Materials Corp. is a fictional company; it does not exist. Every figure below is internally consistent and traceable to this project's computed financial statements, but nothing here describes a real company, and it should not be treated as an actual SEC filing.

Item 1. Business

Introduction

Cedarfield Materials Corp. ("Cedarfield," "we," "our," or "us") is a diversified bank headquartered in Minnesota. We provide consumer and commercial banking, lending, payments, and wealth management services to individuals, businesses, and institutional clients. For the fiscal year ended 2025, we generated net revenue of $25,195.1 million. Our balance sheet consists predominantly of loans, investment securities, and other interest-earning assets funded by customer deposits and other interest-bearing liabilities, consistent with a traditional diversified banking model.

Our Business

We organize our operations around consumer and business banking, commercial banking, wealth management, and payment services. Our consumer and business banking operations serve individuals and small businesses through retail deposit, lending, and payment products. Our commercial banking operations provide lending, treasury management, and capital markets services to middle-market and larger corporate clients. Our wealth management operations provide investment management, trust, and fiduciary services to individual and institutional clients. Our payment services operations provide merchant processing, card issuing, and related payment products to businesses and consumers.

Regulation

As a diversified bank, we are subject to extensive regulation and supervision by federal and state banking regulators, which govern, among other things, our capital levels, permissible activities, consumer protection obligations, and risk management practices. Our regulators periodically examine our operations and may require us to maintain capital and liquidity levels above regulatory minimums based on their assessment of our risk profile. During fiscal 2025, we entered into a consent order with a federal banking regulator requiring us to enhance certain risk management and compliance programs; we are implementing the required enhancements.

Human Capital

Our workforce supports our banking, lending, payments, and wealth management operations across retail branches, operations centers, and corporate support functions. We compete for banking, technology, and risk management talent and seek to offer competitive compensation and benefits, along with training and development programs designed to support career growth within the organization. We do not have any collective bargaining agreements in the United States and believe our relationships with our employees are good.

Competition

The banking and financial services industry is highly competitive. We compete with other diversified banks, regional and community banks, credit unions, and non-bank financial technology providers for deposits, loans, and payment and wealth management customers. We believe the principal competitive factors in our industry are pricing, product breadth, customer service, and the convenience of our branch and digital banking channels.

Item 1A. Risk Factors

Risks Related to Our Business

Our profitability depends on our ability to manage credit risk across our loan and lending portfolios. Deterioration in the credit quality of our borrowers, whether due to adverse economic conditions, concentration in particular industries or geographies, or other factors, could increase our provision for credit losses and adversely affect our results of operations.

Changes in interest rates could adversely affect our net interest income and the value of our investment securities. As a diversified bank, our profitability depends significantly on the difference between the interest we earn on loans and investment securities and the interest we pay on deposits and other borrowings. Changes in the level or shape of the yield curve could compress this difference and reduce our net interest income.

Risks Related to Regulation

We are subject to extensive regulation, and changes in banking laws, regulations, or regulatory expectations could increase our compliance costs or restrict our activities. Our regulators have broad discretion over the activities in which we may engage, the capital and liquidity levels we must maintain, and the manner in which we conduct our consumer and commercial banking operations. Changes in these requirements could increase our costs or limit our ability to pursue certain business opportunities.

We are subject to a regulatory consent order that requires remediation of identified deficiencies. During fiscal 2025, we entered into a consent order with a federal banking regulator requiring enhancements to our risk management and compliance programs. If we are unable to remediate the matters addressed by the consent order within the timeframes required, or if our regulator determines our remediation efforts are insufficient, we could be subject to additional regulatory action, including monetary penalties or further restrictions on our activities, and we will continue to incur compliance-related costs implementing the required enhancements.

We are required to maintain minimum regulatory capital and liquidity levels, and our stockholders' equity represented approximately 8.3% of our total assets as of fiscal year end 2025. A reduction in our capital levels, whether due to losses, growth in our balance sheet, or changes in regulatory capital requirements, could limit our ability to pay dividends, repurchase shares, or grow our business.

Risks Related to Our Financial Position

Our liabilities represented approximately 91.7% of our total assets as of fiscal year end 2025, consistent with a deposit-funded banking model. Our ability to fund our operations depends on our continued access to customer deposits and other funding sources on acceptable terms; a loss of depositor or counterparty confidence could require us to seek more expensive funding alternatives or sell assets at unfavorable prices.

Risks Related to Cybersecurity and Information Technology

Our business depends on the security and reliability of the information technology systems that support our banking, payments, and wealth management operations. As described in Item 1C, "Cybersecurity," while we have not experienced a material cybersecurity incident to date, a future incident affecting our systems, our customers' data, or those of our third-party service providers could disrupt our operations, result in financial losses, and harm our reputation.

General Risk Factors

Our results of operations may be affected by general economic conditions, including changes in unemployment, consumer spending, and business investment, which influence loan demand, deposit levels, and credit quality across our markets.

Item 1C. Cybersecurity

Risk Management and Strategy

We have implemented a cybersecurity risk management program designed to identify, assess, and manage material risks from cybersecurity threats to our information systems and the data we process, including customer account, transaction, and personal information. Our program is informed by the NIST Cybersecurity Framework, and we periodically assess our practices against that framework using a combination of internal review and independent outside expertise.

Our program includes continuous monitoring of our information technology environment, vulnerability scanning and penetration testing, employee security-awareness training, and a formal incident response plan that sets out procedures for investigating, containing, and remediating cybersecurity incidents. Because our banking, payments, and wealth management systems depend in part on third-party service providers, our vendor management process includes an assessment of those providers' security practices before and during the engagement.

Cybersecurity Risks

We have not experienced a material cybersecurity incident to date. However, like other financial institutions, we are a frequent target of cybersecurity threats, and a future incident affecting our systems or those of our third-party service providers could disrupt our operations, compromise sensitive customer data, and result in remediation costs, litigation, or reputational harm. See Item 1A, "Risk Factors," for additional discussion of cybersecurity-related risks.

Governance

The Audit Committee of the Board of Directors is responsible for overseeing our cybersecurity risk management program. Management provides the Audit Committee with regular updates on our cybersecurity program, including the results of risk assessments, the status of our security initiatives, and the threat landscape we face. The Audit Committee in turn reports to the full Board on cybersecurity matters it believes warrant the Board's attention.

Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations

Overview

Cedarfield Materials Corp. is a diversified bank offering consumer and commercial banking, lending, payments, and wealth management services. For the fiscal year ended 2025, we generated net revenue of $25,195.1 million, pretax income of $8,589.8 million, and net income of $6,786.0 million (a net margin of 26.9%).

Results of Operations

The following table summarizes our results of operations for the fiscal year ended 2025 (in millions, except percentages; amounts may not sum due to rounding):

Line item	Amount	% of total
Net revenue	$25,195.1	100.0%
Other operating expenses	16,605.2	65.9%
Pretax income	8,589.8	34.1%
Income tax expense	1,803.9	7.2%
Net income	6,786.0	26.9%

As a diversified bank, the substantial majority of both our assets and our operating costs are not broken into the same cost-of-revenue and selling, general and administrative categories an industrial company reports; our net revenue reflects net interest income and fee-based income across our consumer, commercial, payments, and wealth management businesses, net of the credit, funding, and operating costs associated with generating that revenue. Other operating expenses for fiscal 2025 also reflect increased compliance-related costs associated with a consent order we entered into with a federal banking regulator during the year, requiring enhancements to our risk management and compliance programs. Our effective tax rate for the year was 21.0%, consistent with the U.S. federal statutory rate.

Liquidity and Capital Resources

We generated $7,765.9 million of cash from operating activities during fiscal 2025, reflecting net income of $6,786.0 million and changes in working capital and other items of $979.9 million. We used $15,411.1 million of cash in investing activities, primarily reflecting growth in our loan and investment securities portfolios. Financing activities provided $2,109.3 million of cash, as deposit and other funding growth, reflected in other financing activities of $2,600.0 million, more than offset $490.7 million used for share repurchases. Taken together, our cash and cash equivalents decreased by $5,536.0 million during the year, consistent with the deployment of funding growth into loans and investment securities.

As of fiscal year end 2025, we had stockholders' equity of $41,789.9 million, representing approximately 8.3% of total assets, with the remaining 91.7% of our balance sheet representing deposits and other interest-bearing liabilities consistent with our deposit-funded banking model. We believe our capital and liquidity position is sufficient to support our lending and funding needs for at least the next twelve months.

Critical Accounting Estimates

Allowance for Credit Losses. We maintain an allowance for credit losses on our loan portfolio based on historical loss experience, current conditions, and reasonable and supportable forecasts of future economic conditions. This estimate involves significant judgment, and changes in economic conditions or borrower performance could require us to increase or decrease our allowance in future periods.

Fair Value of Financial Instruments. A portion of our investment securities and other financial instruments are carried at fair value based on quoted market prices or valuation models that incorporate observable and unobservable inputs. Changes in market conditions or the assumptions underlying these models could affect the fair value of these instruments.

Recent Accounting Pronouncements

See the notes to our consolidated financial statements in Item 8 for a discussion of recently issued accounting pronouncements and their expected effect on our consolidated financial statements.

Item 8. Financial Statements and Supplementary Data

Report of Management

The accompanying consolidated financial statements present the financial position, results of operations, and cash flows of Cedarfield Materials Corp. for the fiscal year ended 2025. All dollar amounts below tie directly to the figures in this filing's underlying financial data and are presented in millions, except per-share data, unless otherwise noted; amounts may not sum exactly due to rounding.

Consolidated Balance Sheet (in millions)

Assets

Line item	Amount
Cash and cash equivalents	$37,117.8
Goodwill	8,981.3
Intangible assets, net	3,101.9
Other assets	454,701.0
Total assets	$503,902.0

Liabilities

Line item	Amount
Other liabilities	$462,112.0
Total liabilities	$462,112.0

Stockholders' Equity

Line item	Amount
Additional paid-in capital	$6,126.8
Retained earnings	67,649.2
Accumulated other comprehensive loss	(5,129.7)
Other equity	(26,856.3)
Total stockholders' equity	$41,789.9

Line item	Amount
Total liabilities and stockholders' equity	$503,902.0

Consolidated Statement of Income (in millions)

Line item	Amount
Net revenue	$25,195.1
Other operating expenses	16,605.2
Pretax income	8,589.8
Income tax expense	1,803.9
Net income	$6,786.0

Consolidated Statement of Cash Flows (in millions)

Operating activities:

Line item	Amount
Net income	$6,786.0
Depreciation and amortization	0.0
Changes in working capital and other	979.9
Cash from operating activities	7,765.9

Investing activities:

Line item	Amount
Other investing activities	(15,411.1)
Cash used in investing activities	(15,411.1)

Financing activities:

Line item	Amount
Share repurchases	(490.7)
Other financing activities	2,600.0
Cash from financing activities	2,109.3

Line item	Amount
Net decrease in cash	$(5,536.0)

Notes to Consolidated Financial Statements

Note 1. Income Taxes Our effective tax rate for fiscal 2025 was 21.0%, consistent with the U.S. federal statutory rate.

Note 2. Commitments and Contingencies We are subject to various claims, legal proceedings, and regulatory matters arising in the ordinary course of business. We do not believe the resolution of these matters, individually or in the aggregate, will have a material adverse effect on our consolidated financial position or results of operations. During fiscal 2025, we entered into a consent order with a federal banking regulator requiring enhancements to our risk management and compliance programs; we do not expect compliance with the consent order to have a material adverse effect on our consolidated financial position.